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Canada Revenue Agency | Agence du revenu du Canada

**Schedule 31**
Code 2301
**Protected B**
when completed

# Investment Tax Credit – Corporations (2023 and later tax years)

## General information

- Use this schedule:
  - to calculate an investment tax credit (ITC) earned during the tax year
  - to claim a deduction against Part I tax payable
  - to claim a refund of credit earned during the current tax year
  - to claim a carryforward of credit from previous tax years
  - to transfer a credit following an amalgamation or the wind-up of a subsidiary, as described under subsections 87(1) and 88(1)
  - to request a credit carryback to one or more previous years
  - if you are subject to a recapture of ITC
- Unless otherwise stated, all legislative references are to the Income Tax Act or, where appropriate, the Income Tax Regulations.
- Certain ITCs are eligible for a three-year carryback (if not deductible in the year earned) and are also eligible for a twenty-year carryforward. This does not apply to the clean economy ITCs, which are refundable tax credits.
- Investments or expenditures, described in subsection 127(9) and Regulation Part XLVI, that earn an ITC are:
  - qualified property and qualified resource property (Parts 4 to 7 of this schedule)
    - You can no longer claim the ITC for the qualified resource property expenditures. Only unused credits that have not expired can be carried forward for up to 20 tax years following the tax year in which you incurred the expenditures.
  - qualified scientific research and experimental development (SR&ED) expenditures (Parts 8 to 17). File Form T661, Scientific Research and Experimental Development (SR&ED) Expenditures Claim
  - pre-production mining expenditures (Part 18)
    - You can no longer claim the ITC for the pre-production mining expenditures. Only unused credits that have not expired can be carried forward for up to 20 tax years following the tax year in which you incurred the expenditures.
  - apprenticeship job creation expenditures (Parts 19 to 21)
  - child care spaces expenditures (Part 22)
    - You can no longer claim the ITC for the child care spaces expenditures. Only unused credits that have not expired can be carried forward for up to 20 tax years following the tax year in which you incurred the expenditures.
- Investments or expenditures for the clean economy, described in sections 127.44, 127.45, 127.48, and 127.49, that earn an ITC are investments in (Part 24):
  - carbon capture, utilization, or storage (CCUS) projects, for qualifying expenditures made after 2021
  - clean technology property that is acquired and becomes available for use after March 27, 2023
  - eligible clean hydrogen property that is acquired and becomes available for use after March 27, 2023
  - clean technology manufacturing (CTM) property that is used in qualifying manufacturing and processing activities or the extraction and processing of certain critical minerals and that is acquired and becomes available for use after 2023
- File this schedule with the T2 Corporation Income Tax Return. If you need more space, attach additional schedules.
- For more information on ITCs, see **Investment Tax Credits** in Guide T4012, T2 Corporation – Income Tax Guide.
- For more information on SR&ED, see Guide T4088, Scientific Research and Experimental Development (SR&ED) Expenditures Claim – Guide to Form T661.

## Detailed information

- For the purpose of this schedule, **investment** means the capital cost of the property (excluding amounts added by an election under section 21), determined without reference to subsections 13(7.1) and 13(7.4), minus the amount of any government or non-government assistance that the corporation has received, is entitled to receive, or can reasonably be expected to receive for that property at the time it files the income tax return for the year in which the property was acquired. For rules related to capital cost for the CCUS ITC, clean technology ITC, clean hydrogen ITC, and clean technology manufacturing ITC, see, respectively, subsections 127.44(9), 127.45(5), 127.48(10), and 127.49(5).
- An ITC deducted in a tax year for a depreciable property reduces both the capital cost of that property and the undepreciated capital cost of that class in the next tax year. An ITC for SR&ED deducted or refunded in a tax year will reduce the balance in the pool of deductible SR&ED expenditures and the adjusted cost base (ACB) of an interest in a partnership in the next tax year. An ITC from pre-production mining expenditures deducted in a tax year reduces the balance in the pool of deductible cumulative Canadian exploration expenses in the next tax year.
- Property acquired has to be **available for use (AFU)** before a claim for an ITC can be made. See subsections 127(11.2), 127.45(4), 127.48(5), 127.49(4), and 248(19) for more information. The AFU rules do not apply to claims for the CCUS ITC.
- Expenditures for SR&ED qualifying for an ITC must be identified by the claimant on Form T661 and Schedule 31 no later than one year after the claimant's income tax return is due for the tax year in which it incurred the expenditures. A claimant that does not meet this reporting deadline will not be able to file Schedule 508, Ontario Research and Development Tax Credit, and Schedule 566, Ontario innovation Tax Credit.
- Expenditures for an apprenticeship ITC must be identified by the claimant on Schedule 31 no later than one year after the claimant's income tax return is due for the tax year in which it incurred the expenditures.
- The claimant must identify the clean economy ITC on Schedule 31 no later than one year after the claimant's income tax return is due for the tax year it is entitled to claim the credit for (for the CCUS ITC and the clean hydrogen ITC, the claimant must identify the ITC by the later of this date and December 31, 2025).

## Detailed information (continued)

- Partnership allocations – Subsection 127(8) provides for the allocation of the amount that may reasonably be considered to be a partner's share of the ITCs of the partnership at the end of the fiscal period of the partnership. An allocation of ITCs is generally considered to be the partner's reasonable share of the ITCs if it is made in the same proportion in which the partners have agreed to share any income or loss and if section 103 is not applicable for the agreement to share any income or loss. Special rules apply to specified members of a partnership and limited partners. For more information, see Guide T4068, Guide for the Partnership Information Return (T5013 Forms). See section 127.47 for rules that apply to partnerships for the clean economy ITCs generally. For more information on partnership allocations for the CCUS ITC, clean technology ITC, clean hydrogen ITC, and clean technology manufacturing ITC, see, respectively, subsections 127.44(11), 127.45(8), 127.48(12), and 127.49(8).
- For certain purposes**,** Canada includes the **exclusive economic zone of Canada** as defined in the Oceans Act (which generally consists of an area of the sea that is within 200 nautical miles from the Canadian coastline), including the airspace, seabed and subsoil of that zone. For the clean technology ITC, Canada includes the exclusive economic zone of Canada only for property that is described in subparagraph (d)(v) or (xiv) of Class 43.1 in Schedule II of the Regulations.
- For the purpose of this schedule, the expression **Atlantic Canada** includes the Gaspé Peninsula and the provinces of Newfoundland and Labrador, Prince Edward Island, Nova Scotia, and New Brunswick, as well as their respective offshore regions (prescribed in Regulation 4609).
- For the purpose of this schedule, **qualified property** means property in Atlantic Canada that is used primarily for manufacturing and processing, farming or fishing, logging, storing grain, or harvesting peat. Qualified property includes new buildings and new machinery and equipment (prescribed in Regulation 4600), and new energy generation and conservation property (prescribed in Regulation 4600). Certain qualified property can also be used primarily to produce or process electrical energy or steam in a prescribed area (as described in Regulation 4610). See the definition of **qualified property** in subsection 127(9) for more information.

## Part 1 – Investments, expenditures and percentages

| | Specified percentage |
|---|---|
| **Investments** | |
| Qualified property acquired primarily for use in Atlantic Canada | 10% |
| **Expenditures** | |
| If you are a Canadian-controlled private corporation (CCPC), this percentage may apply to the portion that you claim of the SR&ED qualified expenditure pool that does not exceed your expenditure limit (see Part 10 on page 5) | 35% |
| **Note**: If your current year's qualified expenditures are more than your expenditure limit (see Part 10 on page 5), the excess is eligible for an ITC calculated at the 15% rate. | |
| If you are a corporation that is not a CCPC and have incurred qualified expenditures for SR&ED in any area in Canada | 15% |
| If you paid salary and wages to apprentices in the first 24 months of their apprenticeship contract for employment | 10% |
| **Clean economy ITCs** | |
| For work performed after November 27, 2023, to qualify for the investment tax credit rates indicated below, an incentive claimant must elect (in prescribed form) to meet certain labour requirements – prevailing wage requirements and apprenticeship requirements. Otherwise, the credit rate will be reduced by 10 percentage points. The incentive claimant must also attest (in prescribed form) to have met these requirements. The labour requirements do not apply to the clean technology manufacturing ITC. | |
| **CCUS** | |
| If you incurred qualified carbon capture expenditures to capture carbon directly from ambient air: | |
| after 2021 and before 2031 | 60% |
| after 2030 and before 2041 | 30% |
| If you incurred qualified carbon capture expenditures to capture carbon other than directly from ambient air: | |
| after 2021 and before 2031 | 50% |
| after 2030 and before 2041 | 25% |
| If you incurred qualified expenditures for carbon transportation, use, or storage: | |
| after 2021 and before 2031 | 37.5% |
| after 2030 and before 2041 | 18.75% |
| **Clean technology** | |
| If you acquired clean technology property after March 27, 2023, and it becomes available for use: | |
| before 2034 | 30% |
| in 2034 | 15% |
| **Clean hydrogen** | |
| If you acquired an eligible clean hydrogen property after March 27, 2023, and it becomes available for use: | |
| before 2034 | depending on the carbon intensity tier 40%, 25% or 15% |
| in 2034 | depending on the carbon intensity tier 20%, 12.5%, or 7.5% |
| For clean ammonia equipment or certain other equipment used solely in connection with clean ammonia equipment, the rate is 15% if the equipment becomes available for use before 2034 and 7.5% if it becomes available for use in 2034. | |
| **Clean technology manufacturing** | |
| If you acquired CTM property after 2023 and it becomes available for use: | |
| before 2032 | 30% |
| in 2032 | 20% |
| in 2033 | 10% |
| in 2034 | 5% |

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| Corporation's name | Business number | Tax year-end<br>Year Month Day |
|---|---|---|
| | | |

## Part 2A – Determination of a qualifying corporation

**This section does not apply to the clean economy investment tax credits.**

Is the corporation a qualifying corporation? . . . . . **101** Yes ☐ No ☐

Enter your taxable income for the previous tax year[1] (prior to any loss carrybacks applied) . . . . . **390** _____

For the purpose of a refundable ITC, a **qualifying corporation** is defined under subsection 127.1(2). The corporation has to be a CCPC and its taxable income (before any loss carrybacks) for its previous tax year cannot be more than its **qualifying income limit** for the particular tax year. If the corporation is associated with any other corporations during the tax year, the total of the taxable incomes of the corporation and the associated corporations (before any loss carrybacks), for their last tax year ending in the previous calendar year, cannot be more than their qualifying income limit for the particular tax year.

**Note**: A CCPC considered associated with another corporation under subsection 256(1) will be considered **not** associated for the calculation of a refundable ITC if both of the following conditions are met:

- one corporation is associated with another corporation only because one or more persons own shares of the capital stock of both corporations
- one of the corporations has at least one shareholder who is not common to both corporations

If you are a **qualifying** corporation, you will earn a **100%** refund on your share of any ITCs earned at the 35% rate on qualified expenditures for SR&ED, up to the allocated expenditure limit.

Some CCPCs that are **not qualifying** corporations may also earn a **100%** refund on their share of any ITCs earned at the 35% rate on qualified expenditures for SR&ED, up to the allocated expenditure limit. The expenditure limit can be determined in Part 10 on page 5.

[1] If the tax year referred to on line 390 is less than 51 weeks, **multiply** the taxable income by the following result: 365 **divided** by the number of days in that tax year.

## Part 2B – Determination of an excluded corporation – SR&ED

Is the qualifying corporation an excluded corporation as defined under subsection 127.1(2)? . . . . . **650** Yes ☐ No ☐

Only a 40% refund will be available to a qualifying corporation that is an **excluded corporation** as defined under subsection 127.1(2). A corporation is an excluded corporation if, at any time during the year, it is a corporation that is either controlled by (directly or indirectly, in any manner whatever) or is related to one of the following:

a) one or more persons exempt from Part I tax under section 149

b) Her Majesty in right of a province, a Canadian municipality, or any other public authority

c) any combination of persons referred to in a) or b) above

## Part 3 – Corporations in the farming industry

Complete this area if the corporation is making SR&ED contributions.

Is the corporation claiming a contribution in the current year to an agricultural organization whose goal is to finance SR&ED work (for example, check-off dues)? . . . . . **102** Yes ☐ No ☐

If **yes**, complete Schedule 125, Income Statement Information, to identify the type of farming industry the corporation is involved in.

Contributions to agricultural organizations for SR&ED [2] . . . . . _____ × 80% = **103** _____
Enter on line 350 of Part 8.

[2] Enter only contributions not already included on Form T661.

# Qualified Property and Qualified Resource Property

## Part 4 – Eligible investments for qualified property from the current tax year

| | Capital cost allowance class number **105** | Description of investment **110** | Date available for use **115** | Location used in Atlantic Canada (province) **120** | Amount of investment **125** |
|---|---|---|---|---|---|
| 1. | | | | | |
| 2. | | | | | |
| 3. | | | | | |
| 4. | | | | | |
| | | | | **Total of investments for qualified property** | 4A |

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## Part 5 – Current-year credit and account balances – ITC from investments in qualified property and qualified resource property

ITC at the end of the previous tax year ..... _____ 5A

Credit deemed as a remittance of co-op corporations ..... 210 _____

Credit expired ..... 215 _____

Subtotal (line 210 **plus** line 215) _____ ▶ _____ 5B

ITC at the beginning of the tax year (amount 5A **minus** amount 5B) ..... 220 _____

Credit transferred on an amalgamation or the wind-up of a subsidiary ..... 230 _____

ITC from repayment of assistance ..... 235 _____

Qualified property (amount 4A) ..... _____ × 10% = 240 _____

Credit allocated from a partnership ..... 250 _____

Subtotal (total of lines 230 to 250) _____ ▶ _____ 5C

Total credit available (line 220 **plus** amount 5C) ..... _____ 5D

Credit deducted from Part I tax ..... 260 _____

Credit carried back to previous years (amount 6A) ..... _____ 5E

Credit transferred to offset Part VII tax liability ..... 280 _____

Subtotal (total of line 260, amount 5E, and line 280) _____ ▶ _____ 5F

Credit balance before refund (amount 5D **minus** amount 5F) ..... _____ 5G

Refund of credit claimed on investments from qualified property (from Part 7) ..... 310 _____

**ITC closing balance of investments from qualified property and qualified resource property** (amount 5G **minus** line 310) ..... 320 _____

## Part 6 – Request for carryback of credit from investments in qualified property

| | Year | Month | Day | | | |
|---|---|---|---|---|---|---|
| 1st previous tax year | | | | Credit to be applied | 901 | |
| 2nd previous tax year | | | | Credit to be applied | 902 | |
| 3rd previous tax year | | | | Credit to be applied | 903 | |

Total of lines 901 to 903 _____ 6A
Enter at amount 5E.

## Part 7 – Refund of ITC for qualifying corporations on investments from qualified property

Current-year ITCs (line 240 **plus** line 250 in Part 5) ..... _____ 7A

Credit balance before refund (from amount 5G) ..... _____ 7B

**Refund** (40% of amount 7A or 7B, whichever is less) ..... _____ 7C

Enter amount 7C or a lesser amount on line 310 in Part 5 (also include in line 780 of the T2 return if you do not claim an SR&ED ITC refund).

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| Corporation's name | Business number | Tax year-end Year Month Day |
|---|---|---|
| | | |

# SR&ED

## Part 8 – Qualified SR&ED expenditures

Qualified SR&ED expenditures (line 559 on Form T661 **plus** line 103 in Part 3)[3] . . . . . **350** _____

Repayments made in the year (from line 560 on Form T661) . . . . . **370** _____

**Total qualified SR&ED expenditures** (line 350 **plus** line 370) . . . . . **380** _____

[3] If you are claiming only contributions made to agricultural organizations for SR&ED, line 350 should equal line 103 in Part 3. Do not file Form T661.

## Part 9 – Components of the SR&ED expenditure limit calculation

**Part 9 only applies if you are a CCPC.**

**Note:** A CCPC considered associated with another corporation under subsection 256(1) will be considered not associated for the calculation of an SR&ED expenditure limit if both of the following apply:

- one corporation is associated with another corporation solely because one or more persons own shares of the capital stock of the corporation
- one of the corporations has at least one shareholder who is not common to both corporations

Is the corporation associated with another CCPC for the purpose of calculating the SR&ED expenditure limit? . . . . . **385** Yes ☐ No ☐

If you answered **no** to the question on line 385 or if you are not associated with any other corporations, complete line 398.
If you answered **yes**, complete Schedule 49, Agreement Among Associated Canadian-Controlled Private Corporations to Allocate the Expenditure Limit, to determine the amounts for associated corporations.

Enter your taxable capital employed in Canada for the previous tax year **minus** $10 million.
If this amount is nil or negative, enter "0". If this amount is over $40 million, enter $40 million . . . . . **398** _____

## Part 10 – SR&ED expenditure limit for a CCPC

**For a stand-alone (not associated) corporation**

$40,000,000 **minus** line 398 in Part 9 . . . . . _____ 10A

Amount 10A **divided** by $40,000,000 . . . . . _____ 10B

Expenditure limit for the stand-alone corporation ($3,000,000 **multiplied** by amount 10B)[4] . . . . . _____ 10C

**For an associated corporation**

If associated, the allocation of the SR&ED expenditure limit, as provided on Schedule 49 [4] . . . . . **400** _____

**If your tax year is less than 51 weeks, calculate the amount of the expenditure limit as follows:**

Amount 10C or line 400 _____ × $\frac{\text{Number of days in the tax year}}{365}$ _____ = . . . . . _____ 10D

**Your SR&ED expenditure limit for the year** (enter amount 10C, line 400, or amount 10D, whichever applies) . . . . . **410** _____

[4] Amount 10C or line 400 cannot be more than $3,000,000.

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## Part 11 – Investment tax credits on SR&ED expenditures

Qualified SR&ED expenditures (from line 350 in Part 8) or the expenditure limit (from line 410 in Part 10), whichever is less [5] . . . . . 420 _____ × 35% = _____ 11A

Line 350 **minus** line 410 (if negative, enter "0") . . . . . 430 _____ × 15% = _____ 11B

If a corporation makes a repayment of any government or non-government assistance, or contract payments that reduced the amount of qualified expenditures for ITC purposes, the amount of the repayment is eligible for a credit.

**Repayments** (amount from line 370 in Part 8) . . . . . _____

Enter the amount of the repayment on the line that corresponds to the appropriate rate.

Repayment of assistance that reduced a qualifying expenditure for a CCPC [6] . . . . . 460 _____ × 35% = _____ 11C

Repayment of assistance made after September 16, 2016, that reduced a qualifying expenditure incurred before 2015 . . . . . 480 _____ × 20% = _____ 11D

Repayment of assistance made after September 16, 2016, that reduced a qualifying expenditure incurred after 2014 . . . . . 490 _____ × 15% = _____ 11E

Subtotal (total of amounts 11C to 11E) _____ ▶ _____ 11F

**Current-year SR&ED ITC** (total of amounts 11A, 11B, and 11F; enter on line 540 in Part 12) . . . . . _____ 11G

5 For corporations that are not CCPCs, enter "0" for amount 11A.

6 If you were a CCPC, this percentage was applied to the portion that you claimed of the SR&ED qualified expenditure pool that did not exceed your expenditure limit at the time. This percentage includes the rate under subsection 127(10.1), **Additions to investment tax credit**. See subsection 127(10.1) for details about exceptions. For expenditures not eligible for this rate use line 480 or 490 as appropriate.

## Part 12 – Current-year credit and account balances – ITC from SR&ED expenditures

ITC at the end of the previous tax year . . . . . _____ 12A

Credit deemed as a remittance of co-op corporations . . . . . 510 _____

Credit expired . . . . . 515 _____

Subtotal (line 510 **plus** line 515) _____ ▶ _____ 12B

ITC at the beginning of the tax year (amount 12A **minus** amount 12B) . . . . . 520 _____

Credit transferred on an amalgamation or the wind-up of a subsidiary . . . . . 530 _____

Total current-year credit (from amount 11G) . . . . . 540 _____

Credit allocated from a partnership . . . . . 550 _____

Subtotal (total of lines 530 to 550) _____ ▶ _____ 12C

Total credit available (line 520 **plus** amount 12C) . . . . . _____ 12D

Credit deducted from Part I tax . . . . . 560 _____

Credit carried back to previous years (amount 13A) . . . . . _____ 12E

Credit transferred to offset Part VII tax liability . . . . . 580 _____

Subtotal (total of line 560, amount 12E, and line 580) _____ ▶ _____ 12F

Credit balance before refund (amount 12D **minus** amount 12F) . . . . . _____ 12G

Refund of credit claimed on SR&ED expenditures (from Part 14 or 15, whichever applies) . . . . . 610 _____

**ITC closing balance on SR&ED** (amount 12G **minus** line 610) . . . . . 620 _____

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| Corporation's name | Business number | Tax year-end Year Month Day |
|---|---|---|
| | | |

## Part 13 – Request for carryback of credit from SR&ED expenditures

| | Year | Month | Day | | | |
|---|---|---|---|---|---|---|
| 1st previous tax year | | | | Credit to be applied | 911 | |
| 2nd previous tax year | | | | Credit to be applied | 912 | |
| 3rd previous tax year | | | | Credit to be applied | 913 | |

Total of lines 911 to 913 _____ 13A
Enter at amount 12E.

## Part 14 – Refund of ITC for qualifying corporations – SR&ED

Complete this part if you are a qualifying corporation as determined on line 101 in Part 2A.[7]

Current-year ITC (lines 540 **plus** 550 in Part 12 **minus** amount 11F) . . . . . _____ 14A

Refundable credits (amount 14A or amount 12G, whichever is less) . . . . . _____ 14B

Amount 14B or amount 11A, whichever is less . . . . . _____ 14C

Net amount (amount 14B **minus** amount 14C; if negative, enter "0") . . . . . _____ 14D

Amount 14D **multiplied** by 40% . . . . . _____ 14E

Amount 14C . . . . . _____ 14F

**Refund of ITC** (amount 14E **plus** amount 14F – enter this, or a lesser amount, on line 610 in Part 12) . . . . . _____ 14G

Include the total of line 310 in Part 5 and line 610 in Part 12 in line 780 of the T2 return.

7 If you are also an excluded corporation, as determined in Part 2B, amount 14B must be multiplied by 40%. Claim this, or a lesser amount, as your refund of ITC for amount 14G.

## Part 15 – Refund of ITC for CCPCs that are neither qualifying nor excluded corporations – SR&ED

Complete this part only if you are a CCPC that is not a qualifying corporation as determined on line 101 in Part 2A or an excluded corporation as determined on line 650 in Part 2B.

Credit balance before refund (amount 12G). . . . . _____ 15A

**Refund of ITC** (amount 15A or amount 11A, whichever is less) . . . . . _____ 15B

Enter amount 15B, or a lesser amount, on line 610 in Part 12 and also include it in line 780 of the T2 return.

# Recapture – SR&ED

## Part 16 – Recapture of ITC for corporations and partnerships – SR&ED

You will have a recapture of ITC in a year when **all** of the following conditions are met:

- you acquired a particular property in the current year or in any of the 20 previous tax years, and the credit was earned in a tax year ending after 1997 and did not expire before 2008
- you claimed the cost of the property as a qualified expenditure for SR&ED on Form T661
- the cost of the property was included in calculating your ITC or was the subject of an agreement made under subsection 127(13) to transfer qualified expenditures
- you disposed of the property or converted it to commercial use after February 23, 1998. This condition is also met if you disposed of or converted to commercial use a property that incorporates the particular property previously referred to

**Note:**

The recapture **does not apply** if you disposed of the property to a non-arm's-length purchaser who intended to use it all or substantially all for SR&ED. When the non-arm's-length purchaser later sells or converts the property to commercial use, the recapture rules will apply to the purchaser based on the historical ITC rate of the original user.

You will report a recapture on the T2 return for the year in which you disposed of the property or converted it to commercial use. In the following tax year, add the amount of the ITC recapture to the SR&ED expenditure pool.

If you have more than one disposition for calculations 1 and 2, complete the columns for each disposition for which a recapture applies, using the calculation formats below.

### Calculation 1 – If you meet all of the above conditions

| | Amount of ITC you originally calculated for the property you acquired, or the original user's ITC where you acquired the property from a non-arm's length party, as described in the **note** above **700** | Amount calculated using ITC rate at the date of acquisition (or the original user's date of acquisition) on either the proceeds of disposition (if sold in an arm's length transaction) or the fair market value of the property (in any other case) **710** | Amount from column 700 or 710, whichever is less | |
|---|---|---|---|---|
| 1. | | | | |
| 2. | | | | |
| 3. | | | | |
| 4. | | | | |
| | | **Subtotal** Enter at amount 17A. | | 16A |

### Calculation 2 – Only if you transferred all or a part of the qualified expenditure to another person under an agreement described in subsection 127(13); otherwise, enter nil at amount B3.

| | **A** Rate that the transferee used in determining its ITC for qualified expenditures under a subsection 127(13) agreement **720** | **B** Proceeds of disposition of the property if you dispose of it to an arm's length person; or, in any other case, enter the fair market value of the property at conversion or disposition **730** | **C** Amount, if any, already provided for in Calculation 1 (This allows for the situation where only part of the cost of a property is transferred under a subsection 127(13) agreement.) **740** | **D** Amount determined by the formula (A × B) − C | **E** ITC earned by the transferee for the qualified expenditures that were transferred **750** | **F** Amount from column D or E, whichever is less | |
|---|---|---|---|---|---|---|---|
| 1. | | | | | | | |
| 2. | | | | | | | |
| 3. | | | | | | | |
| 4. | | | | | | | |
| | | | | | **Subtotal** (total of column F) Enter at amount 17B. | | 16B |

### Calculation 3

As a member of the partnership, you will report your share of the SR&ED ITC of the partnership after the SR&ED ITC has been reduced by the amount of the recapture. If this amount is a positive amount, you will report it on line 550 in Part 12 on page 6. However, if the partnership does not have enough ITC otherwise available to offset the recapture, then the amount by which reductions to ITC exceed additions (the excess) will be determined and reported on line 760.

Corporate partner's share of the excess of SR&ED ITC **760** _____
Enter at amount 17C.

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| Corporation's name | Business number | Tax year-end Year Month Day |
|---|---|---|
| | | |

## Part 17 – Total recapture of SR&ED investment tax credit

| | | |
|---|---|---|
| Recaptured ITC from calculation 1, amount 16A | | 17A |
| Recaptured ITC from calculation 2, amount 16B | | 17B |
| Recaptured ITC from calculation 3, line 760 in Part 16 | | 17C |
| **Total recapture of SR&ED investment tax credit** (total of amounts 17A to 17C) Enter at amount 25A in Part 25. | | 17D |

# Pre-Production Mining

## Part 18 – Account balances – ITC from pre-production mining expenditures

| | | | | |
|---|---|---|---|---|
| ITC at the end of the previous tax year | | | | 18A |
| Credit deemed as a remittance of co-op corporations | 841 | | | |
| Credit expired | 845 | | | |
| Subtotal (line 841 **plus** line 845) | | ▶ | | 18B |
| ITC at the beginning of the tax year (amount 18A **minus** amount 18B) | | 850 | | |
| Credit transferred on an amalgamation or the wind-up of a subsidiary | | 860 | | |
| Total credit available (line 850 **plus** line 860) | | | | 18C |
| Amount of unused credit carried forward from previous years and applied to reduce Part I tax payable in the current year | | 885 | | |
| **ITC closing balance from pre-production mining expenditures** (amount 18C **minus** line 885) | | 890 | | |

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# Apprenticeship Job Creation

## Part 19 – Total current-year credit – ITC from apprenticeship job creation expenditures

If you are a related person as defined under subsection 251(2), has it been agreed in writing that you are the only employer who will be claiming the apprenticeship job creation tax credit for this tax year for each apprentice whose contract number (or social insurance number (SIN) or name) appears below? (If not, you cannot claim the tax credit.) . . . . . 611 Yes ☐ No ☐

For each apprentice in their first 24 months of the apprenticeship, enter the apprenticeship contract number registered with Canada, or a province or territory, under an apprenticeship program designed to certify or license individuals in the trade. For the province, the trade must be a Red Seal trade. If there is no contract number, enter the SIN or the name of the eligible apprentice.

| | A<br>Contract number<br>(SIN or name of apprentice)<br>601 | B<br>Name of eligible trade<br>602 | C<br>Eligible salary and wages[8]<br>603 | D<br>Column C × 10%<br>604 | E<br>Lesser of column D or $2,000<br>605 |
|---|---|---|---|---|---|
| 1. | | | | | |
| 2. | | | | | |
| 3. | | | | | |
| 4. | | | | | |

Total current-year credit (total of column E) Enter on line 640 in Part 20. . . . . 19A

8 Other than qualified expenditure incurred, and net of any other government or non-government assistance received or to be received. **Eligible salary and wages**, and **qualified expenditures** are defined under subsection 127(9).

## Part 20 – Current-year credit and account balances – ITC from apprenticeship job creation expenditures

ITC at the end of the previous tax year . . . . . 20A

Credit deemed as a remittance of co-op corporations . . . . . 612

Credit expired after 20 tax years . . . . . 615

Subtotal (line 612 **plus** line 615) ▶ 20B

ITC at the beginning of the tax year (amount 20A **minus** amount 20B) . . . . . 625

Credit transferred on an amalgamation or the wind-up of a subsidiary . . . . . 630

ITC from repayment of assistance . . . . . 635

Total current-year credit (amount 19A) . . . . . 640

Credit allocated from a partnership . . . . . 655

Subtotal (total of lines 630 to 655) ▶ 20C

Total credit available (line 625 **plus** amount 20C) . . . . . 20D

Credit deducted from Part I tax . . . . . 660

Credit carried back to previous years (amount 21A) . . . . . 20E

Subtotal (line 660 **plus** amount 20E) ▶ 20F

**ITC closing balance from apprenticeship job creation expenditures** (amount 20D **minus** amount 20F) . . . . . 690

## Part 21 – Request for carryback of credit from apprenticeship job creation expenditures

| | Year | Month | Day | | |
|---|---|---|---|---|---|
| 1st previous tax year | | | | Credit to be applied | 931 |
| 2nd previous tax year | | | | Credit to be applied | 932 |
| 3rd previous tax year | | | | Credit to be applied | 933 |

Total of lines 931 to 933 Enter at amount 20E. . . . . 21A

Clear Data

**Protected B** when completed

| Corporation's name | Business number | Tax year-end Year Month Day |
|---|---|---|
| | | |

## Child Care Spaces

### Part 22 – Account balances – ITC from child care spaces expenditures

ITC at the end of the previous tax year . . . . . 22A

Credit deemed as a remittance of co-op corporations . . . . . 765

Credit expired after 20 tax years . . . . . 770

Subtotal (line 765 **plus** line 770) ▶ 22B

ITC at the beginning of the tax year (amount 22A **minus** amount 22B) . . . . . 775

Credit transferred on an amalgamation or the wind-up of a subsidiary . . . . . 777

Credit allocated from a partnership . . . . . 782

Subtotal (line 777 **plus** line 782) ▶ 22C

Total credit available (line 775 **plus** amount 22C) . . . . . 22D

Credit deducted from Part I tax . . . . . 785

**ITC closing balance from child care spaces expenditures** (amount 22D **minus** line 785) . . . . . 790

## Recapture – Child Care Spaces

### Part 23 – Recapture of ITC for corporations and partnerships – Child care spaces

The ITC will be added to the taxpayer's tax otherwise payable under Part I of the Act if, at any time within 60 months of the day on which the taxpayer acquired the property, one of the following situations takes place:

- the new child care space is no longer available
- property that was an eligible expenditure for the child care space is
  - disposed of or leased to a lessee
  - converted to another use

If the property disposed of is a child care space, the amount that can reasonably be considered to have been included in the original ITC (paragraph 127(27.12)(a)) . . . . . 792

In the case of eligible expenditures (paragraph 127(27.12)(b)), the lesser of:

The amount that can reasonably be considered to have been included in the original ITC . . . . . 795

25% of either the proceeds of disposition (if sold in an arm's length transaction) or the fair market value (in any other case) of the property . . . . . 797

Amount from line 795 or line 797, whichever is less . . . . . 23A

**Partnerships**

As a member of the partnership, you will report your share of the child care spaces ITC of the partnership after the child care spaces ITC has been reduced by the amount of the recapture. If this amount is a positive amount, you will report it on line 782 in Part 22 on page 11. However, if the partnership does not have enough ITC otherwise available to offset the recapture, then the amount by which reductions to ITC exceed additions (the excess) will be determined and reported on line 799 below.

**Corporate partner's share of the excess of ITC** 799

**Total recapture of child care spaces investment tax credit** (total of line 792, amount 23A, and line 799) . . . . . 23B

Enter at amount 25B in Part 25.

Clear Data

**Protected B** when completed

# Summary of Investment Tax Credits

## Part 24 – Clean economy ITCs

| | | |
|---|---|---|
| Clean hydrogen ITC | 140 | |
| Clean technology ITC (from Schedule 75) | 155 | |
| Clean technology manufacturing ITC | 170 | |
| Carbon capture, utilization, and storage ITC (from Schedule 78) | 200 | |
| **Clean economy ITCs** (total of lines 140 to 200) | | 24A |

Include the total on line 780 of the T2 return.

## Part 25 – Total recapture of investment tax credit

| | | |
|---|---|---|
| Recaptured SR&ED ITC (amount 17D) | | 25A |
| Recaptured child care spaces ITC (amount 23B) | | 25B |
| Recaptured or recovered clean hydrogen ITC | | 25C |
| Recaptured clean technology ITC (from Schedule 75) | | 25D |
| Recaptured clean technology manufacturing ITC | | 25E |
| **Total recapture of investment tax credit** (total of amounts 25A to 25E) | | 25F |

Enter on line 602 of the T2 return.

## Part 26 – Total ITC deducted from Part I tax

| | | |
|---|---|---|
| ITC from investments in qualified property deducted from Part I tax (line 260 in Part 5) | | 26A |
| ITC from SR&ED expenditures deducted from Part I tax (line 560 in Part 12) | | 26B |
| ITC from pre-production mining expenditures deducted from Part I tax (line 885 in Part 18) | | 26C |
| ITC from apprenticeship job creation expenditures deducted from Part I tax (line 660 in Part 20) | | 26D |
| ITC from child care space expenditures deducted from Part I tax (line 785 in Part 22) | | 26E |
| **Total ITC deducted from Part I tax** (total of amounts 26A to 26E) | | 26F |

Enter on line 652 of the T2 return.